

LEASE AGREEMENT (RESTAURANT)

This Lease Agreement is made and entered into on the 3rd day of October, 2022, between Harbor Street Partners, a California general partnership ("Landlord"), and Marisol Hospitality Group, LLC, doing business as "Costa Verde" ("Tenant").

PREMISES. The leased premises consist of the ground-floor restaurant space and outdoor patio located at 47 Harbor Street, Ground Floor, Santa Cruz, California 95060, containing approximately 3,900 square feet of interior space plus approximately 600 square feet of exclusive patio area.

TERM. The initial term shall be ten (10) years, beginning on the Rent Commencement Date and ending on the last day of the one hundred twentieth (120th) full calendar month thereafter. The Rent Commencement Date is January 1, 2023.

MINIMUM RENT. From the Rent Commencement Date, Tenant shall pay minimum monthly rent as follows: Months 1-24: \$12,000.00 per month; Months 25-60: \$13,500.00 per month; Months 61-96: \$15,200.00 per month; Months 97-120: \$17,100.00 per month.

PERCENTAGE RENT. In addition to minimum rent, Tenant shall pay percentage rent equal to six percent (6%) of annual gross sales in excess of \$2,400,000, payable quarterly.

TRIPLE NET CHARGES. This is a triple net lease. Tenant shall pay all real property taxes, insurance premiums, and common area maintenance costs attributable to the Premises. CAM is currently estimated at \$2,850.00 per month.

SECURITY DEPOSIT. Tenant has deposited with Landlord the sum of \$36,000.00 as a security deposit, plus an additional \$10,000.00 as a fixturing and restoration deposit.

USE. Tenant shall operate the Premises continuously as a full-service, sit-down restaurant serving lunch and dinner, with a full bar, under the trade name "Costa Verde" or such other name as Landlord approves in writing.

RENEWAL. Tenant shall have one (1) option to extend for an additional term of five (5) years upon not less than two hundred seventy (270) days' prior written notice, at a minimum rent equal to the minimum rent in effect during the final year of the initial term, increased by ten percent (10%).

INSURANCE. Tenant shall maintain: (i) commercial general liability insurance, including liquor liability, of not less than \$5,000,000 per occurrence; and (ii) property insurance on all improvements and trade fixtures at full replacement cost.

DEFAULT. If Tenant fails to pay rent or other charges within three (3) days after written notice, or fails to cure any non-monetary default within twenty (20) days after written notice, Landlord may exercise all remedies available at law or in equity.

GREASE AND VENTILATION. Tenant shall, at its sole expense, maintain the grease interceptor and kitchen exhaust system and shall have the hood cleaned by a licensed contractor not less than quarterly.